WHAT IS MARKET VOLATILITY?

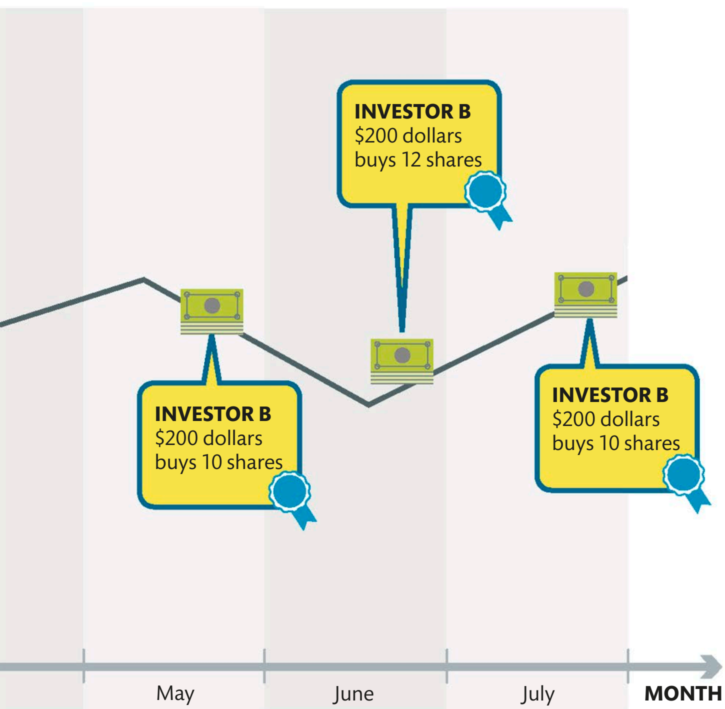
Volatility is the degree of variation in a trading price over time. It is measured by looking at the standard deviation of returns—that is how spread out returns are from an average value. Lower volatility means a share's price does not fluctuate dramatically, but changes in value at a steady pace.

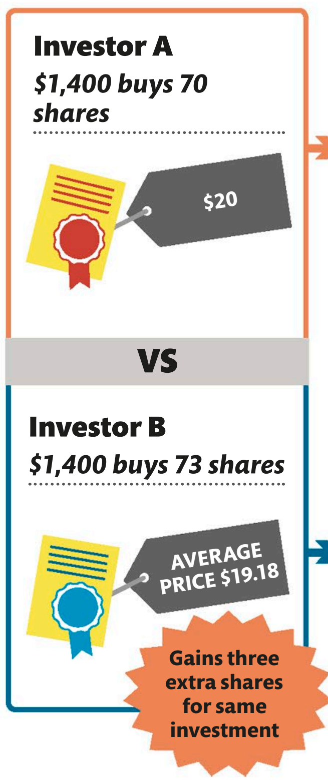
NEED TO KNOW

- **Lump-sum investing** Although high returns are possible, putting large single sums into the market tends to require a more impulsive, or short-term approach, which may be counterproductive.
- **Market conditions** Dollar-cost averaging means investors do not have to study the details of market behavior to maximize their returns.
- **Investments from income** By regularly investing directly from regular income, investors can keep cash on hand for other purposes or emergencies.

"The individual investor should act consistently as an investor and not as a speculator."

Benjamin Graham





WARNING

- **Timing the market** to get the best unit price is very tricky.
- **A fluctuating** share price means a lump sum pays more per share on average.

WARNING

- **DCA** can limit gains in a booming market.
- **If the share price** rises gradually over time, DCA means paying more per share on average.